WELLS FARGO ADVISORS

A Time for Action

2013 Economic and Market OUTLOOK

A special publication from our Investment Strategy Committee

Economy

What's beyond the fiscal cliff?

Our Chief Macro Strategist looks at how we see the debate playing out and our outlook for the economy.

U.S. equities

Where is the stock market headed?

Our Chief Equity Strategist looks at what may lie ahead for the stock market.

Fixed income

What's ahead for interest rates?

Our Chief Fixed Income Strategist examines what impact rates may have on fixed-income portfolios.

International

Where are the opportunities?

Our Chief International Strategist checks up on the international markets as well as commodities and currencies.

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Forecasts and recommendations in this report are produced by analysts and strategists on Wells Fargo Advisors' Investment Strategy Committee.

Economic and market forecast

As of November 29, 2012, unless otherwise noted

Economy		2011 year end	2012 latest	2013 year-end forecast
Inflation-adjusted GDP	*rolling four quarters*	2.0%	2.7% [1]	2.5%
Inflation-adjusted GDP	*latest quarter percent change annual rate*		2.5% [1]	
Unemployment	*end of period/latest*	8.5%	7.9% [2]	7.5%
CPI inflation	*12-month average*	3.0%	2.3% [2]	2.5%
Federal deficit	*rolling 12-months*	$1.2 tril.	$1.1 tril. [2]	$0.8 tril.
Existing home sales (SAAR*)	*end of period/latest*	4.4 mil.	4.8 mil. [2]	5.5 mil.
Total vehicle sales (SAAR*)	*end of period/latest*	13.5 mil.	14.2 mil. [2]	15.5 mil.

U.S. equity		2011 year end	2012 latest	2013 year-end forecast
S&P 500 index	*latest (as of 11/29/12)*	1,257.64	1,415.95	1,525-1,575
S&P operating earnings	*trailing four quarters*	$96.44/shr.	$99.42/shr. [1]	$108.00/shr.
S&P 500 price/earnings	*trailing four quarters operating earnings*	13.04	14.24 [1]	14.35

Fixed income		2011 year end	2012 latest	2013 year-end forecast
Target federal funds rate	*latest (as of 11/29/12)*	0.12%	0.12%	0.12%
10-year Treasury yield	*latest (as of 11/29/12)*	1.88%	1.62%	2.50%
30-year Treasury yield	*latest (as of 11/29/12)*	2.89%	2.80%	3.75%

International, commodities and currency		2011 year end	2012 latest	2013 year-end forecast
MSCI EAFE index	*latest (as of 11/29/12)*	1,412.55	1,554.47	1,575-1,625
MSCI Emerging Markets index	*latest (as of 11/29/12)*	916.39	1,003.79	1,110-1,160
Oil (per barrel)	*latest (as of 11/29/12)*	$98.83	$88.07	$100.00
Gold (per troy ounce)	*latest (as of 11/29/12)*	$1,563.70	$1,725.70	$1,850
U.S. dollars per euro	*latest (as of 11/29/12)*	$1.29	$1.30	$1.25

*SAAR = Seasonally adjusted annual rate 1 = Data as of third-quarter 2012 2 = Data as of October 2012 **Source:** Bloomberg, Wells Fargo Advisors

Recommended portfolio weightings

As of December 4, 2012

Asset classes

Overweight	Evenweight	Underweight
Short-term IG† bonds	Commodities	International developed fixed income
	Dollar	Long-term IG† bonds
	Emerging-market stocks	
	High-yield securities	
	Intermediate-term IG† bonds	
	International developed stocks	
	International emerging market fixed income	
	REITs	
	U.S. large-cap stocks	
	U.S. mid-cap stocks	
	U.S. small-cap stocks	

Note: Weightings are relative to current firm asset allocation models. **Source:** Bloomberg, Wells Fargo Advisors

†IG - Investment grade - Treasuries, agency securities, mortgage-backed securities, corporate bonds and municipal bonds.

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Economy 4
We expect a compromise to avoid the fiscal cliff and anticipate modest U.S. growth ahead.

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A time for action

We believe the year ahead will be a time for action. Lawmakers will need to take action to avoid the fiscal cliff. Businesses will need to look beyond the near-term problems toward longer-term opportunities. And investors will need to recognize that a defensive investment strategy can be costly, particularly if economic momentum continues to build and the equity market moves ahead as we anticipate.

Many parts of the U.S. economy are getting better, and if Congress reaches a compromise on tax hikes and spending cuts as we anticipate, we expect the economy to continue to grow slowly. Given the current environment, we expect stocks to continue to offer a good investment opportunity while fixed income, faced with extremely low rates, may struggle a bit. Finally, a combination of global economic and moderate earnings growth and inflation should benefit international and commodity markets in the coming year.

History suggests that the year after an election is often a time when policymakers finally get around to addressing pressing problems. We believe that 2013 is more likely to be a year when leaders finally take action rather than kick the can down the road again. As a result, the year is also likely to be a time when investor and business confidence increases as the underlying health of the U.S. economy continues to improve slowly.

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Economic momentum likely to build during 2013

Consumer spending should be primary driver of economic activity

Gary Thayer
Chief Macro Strategist

What will Congress do about the fiscal cliff?

The U.S. economy faces a potential recession in 2013 if Congress does not take action to avoid the fiscal cliff. The Congressional Budget Office estimates that U.S. economic output could contract 0.5% next year if all tax increases and spending cuts begin to be implemented as scheduled in early 2013. At this point, we do not expect this worst-case scenario to happen. Both parties favor avoiding the fiscal cliff. Of course, their proposals are different.

We believe there are three scenarios for the fiscal cliff. First, Congress could do nothing, sending the economy into recession in 2013. We believe this is the least-likely scenario. Second, Congress could simply decide to postpone the tax increases and spending cuts and move the fiscal cliff forward another year or two. This strategy would probably look irresponsible and could lead to a downgrade of the U.S. debt rating. The third and most likely scenario would be a late-December or early-January compromise on modest tax hikes and spending cuts that limits the damage to the U.S. economy but dampens economic growth in the short run.

Changing public attitudes are a main reason we expect a compromise. A recent *Wall Street Journal/* NBC news poll asked survey participants how they preferred congressional leaders to address the deficit problem. The responses suggest that the public is tired of a divided government, with 75% of respondents saying that they would prefer congressional leaders to compromise over the deficit while only 15% said that they want leaders to stick with their positions. This suggests that the newly elected Congress has strong public support to find some middle ground and avoid going over the cliff. We don't expect a wave of bipartisanship to develop between the two major parties but do believe that lawmakers recognize the risk to the economy and the need to address this serious problem.

2013 year-end forecasts

2.5% inflation-adjusted GDP
Rolling four quarters

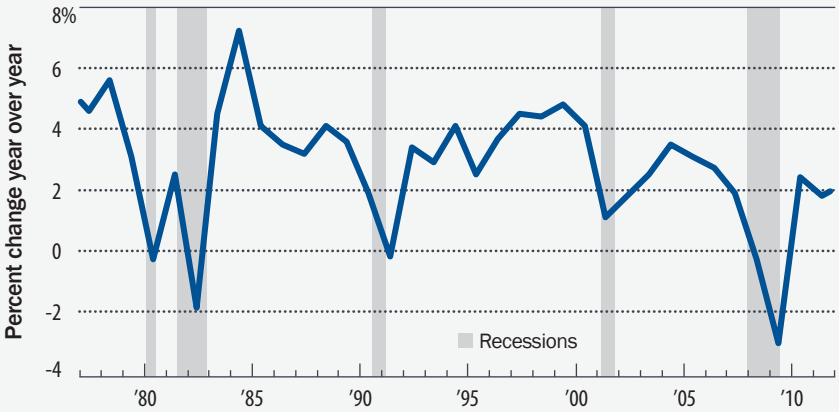
7.5% unemployment
End of period

2.5% CPI inflation
12-month average

Source: Wells Fargo Advisors

We expect continued economic growth

U.S. gross domestic product (GDP) – a measure of all products and services the country produces – continues to grow slowly as it has since mid-2009. We expect a modest improvement in 2013.



Source: Bureau of Economic Analysis, Haver Analytics, Wells Fargo Advisors

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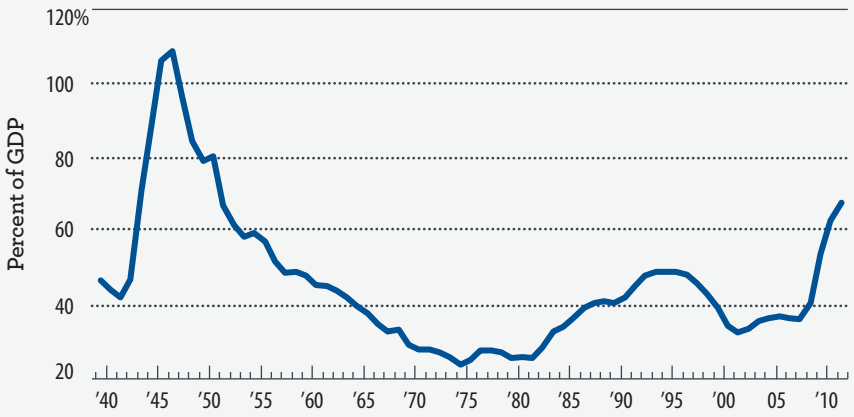
U.S. debt level appears sustainable — for now

U.S. debt held by the public as a percent of GDP is increasing but is still well below its historic high. However, Washington continues to need a credible plan to rein in the deficit.



Source: Office of Management and Budget, Haver Analytics, Wells Fargo Advisors

We expect economic momentum to build over the course of 2013 as the economy moves beyond the uncertainty of the fiscal cliff.

What will drive economic growth and inflation in 2013?

We expect inflation-adjusted gross domestic product (GDP) to increase 2.5% in 2013, still slightly below the 30-year average of 2.8%. At this point, the greatest threat to growth would probably come early in the year as Congress addresses the fiscal cliff. However, we would expect economic momentum to build over the course of the year as the economy moves beyond the fiscal cliff.

Consumer spending will likely be the primary driver of economic activity. If the country avoids the fiscal cliff as we anticipate, then modest job and income growth are likely to support an increase in consumer spending. In addition, the housing market should contribute positively to economic growth in 2013 as previously reluctant buyers take advantage of low interest rates and affordable home prices. Businesses are also likely to increase investment after holding back in 2012 when weak profit growth and uncertainty over taxes and regulations dampened capital spending. Finally, we expect foreign trade to add to growth later in 2013 as the global economy responds to the easy-money policies of 2012.

On the inflation front, we look for the yearly average consumer price index to increase 2.5% in 2013. This is a bit higher than the Federal Reserve's stated 2.0% inflation target. Nevertheless, we expect that policymakers are more willing to err on the side of slightly higher inflation until the economy is strong again. We continue to expect inflation to average 3.0% during the next 10-15 years.

Has U.S. debt hit unsustainable levels?

Total federal debt outstanding surpassed the $16 trillion mark in 2012, but we believe this debt level is not yet unsustainable. The good news is that only about two-thirds of that debt is held by the public and needs to be financed by selling bonds to investors. The remaining one-third is non-marketable debt held in government trust funds. This high debt level has increased concerns that the United States could face problems like several European countries within a few years if it does not get the debt under control. Unfortunately, there is no magic threshold beyond which Treasury debt would be excessive and unsustainable. That depends on how large the economy is and how much of the debt is held by foreign investors and governments. Marketable-Treasury debt is equal to about 68% of U.S. gross domestic product. This compares with 163.3% of GDP for Greece in 2011 and 99.6% of GDP for Italy in 2011. At this point, foreign holdings of U.S. Treasury debt are equal to approximately 47% of marketable debt but only 33% of the total $16 trillion outstanding debt. At these levels, the United States is probably not at an immediate risk of hitting an unsustainable Treasury debt level. But Congress and the White House will need to find a credible plan to reduce the deficit so the debt does not grow faster than GDP. If they succeed in slowing the upward trajectory, the demand for U.S. government debt is likely to remain good and U.S. debt levels will be sustainable.

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Policy and geopolitical events likely to continue to drive the markets

Large-cap and growth stocks may offer the best opportunities

Stuart Freeman, CFA®
Chief Equity Strategist

2013 year-end forecasts

$108
S&P 500 earnings

1,525-1,575
S&P 500 index

Source: Wells Fargo Advisors

What are the base fundamentals underlying the equity markets?

There are a variety of favorable, more forward-looking factors that should work to benefit investors next year. Importantly, the Conference Board's Composite of Ten Leading Economic Indicators points to more growth in 2013. Building permits and homebuilder sentiment are rising. Some categories of manufacturers' new orders for consumer goods and materials and nondefense capital goods (excluding aircraft) are also increasing. In addition, consumer sentiment has been lifting as consumers have deleveraged and are beginning to borrow and spend. Even vehicle sales are improving.

Globally, interest rates have come down. Moreover, there are some very early indications that Europe's economy could bottom during 2013 and that China's growth rate may be stabilizing. Together, these are generally more favorable features than those that existed as we entered 2012; they suggest more growth opportunities abroad, more revenue growth opportunities for cyclically sensitive, multinational domestic companies and for the continuation of a second leg of this cyclical bull market. Consequently, we believe investor sentiment is likely to play catch-up with consumer sentiment during 2013. Our early target range for year-end 2013 for the S&P 500 index is 1,525-1,575, up from our 1,400-1,450 target range for 2012. Our 2013 range represents a price/earnings (P/E) valuation of 14.1 to 14.6 times operating earnings. This is a modest valuation relative to a long-term average of 16.5 times and represents a particularly modest valuation relative to inflation and the yields on long-term fixed-income vehicles.

Where are the risks in the equity markets?

The risks to a moderate pickup in domestic growth continue to be geopolitical threats that could result in higher energy prices, a return to consumer uncertainty, a slowing in consumer spending and waning progress in the housing market. However, given the global economy's modest growth rate and/or expectations for continued growth in U.S. energy production, we do not expect energy to otherwise represent a drag on growth.

Of course, it would clearly be a material negative for stocks if Congress appears not to be working together to build a long-term budget plan addressing both revenues and expenses. Even if some pieces of the deficit problem are pushed out months or even longer, some level of honest progress would be welcomed by the private sector and equity markets, in our opinion.

In addition, any extension in the European recession due to inadequate economic reforms could negatively impact our expectation for 2.5% GDP growth and continuing slow earnings growth next year. We are currently targeting just under a 5% increase in S&P 500 operating earnings for 2013 (from $103 to $108); however, this estimate could be conservative if we see signs of a bottoming in the global economy.

2013 opportunities in equities

As of November 29, 2012

Overweight	% of S&P 500	Guidance	Evenweight	% of S&P 500	Guidance	Underweight	% of S&P 500	Guidance
Consumer Discret.	11.4%	13.3%	Consumer Staples	11.0%	11.0%	Energy	11.0%	10.2%
Info. Tech.	19.2%	23.5%	Industrials	10.1%	10.5%	Financials	15.0%	12.7%
Materials	3.5%	5.0%				Health Care	12.2%	9.8%
Telecom.	3.1%	4.0%				Utilities	3.4%	0.0%

Note: S&P 500 weightings as of November. May not add to 100% due to rounding.

Source: Bloomberg, Wells Fargo Advisors

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How should equity investors be positioned for 2013?

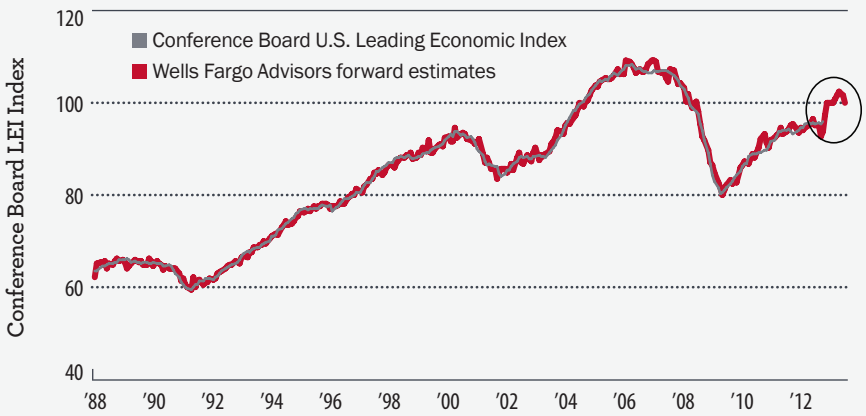
We believe the greatest beneficiaries in 2013 should be the more cyclically sensitive sectors whose revenues and earnings have been negatively impacted by sluggish global growth. We currently recommend investors overweight the Consumer Discretionary, Technology and Materials sectors as well as the Telecommunications Services sector (for some dividend yield). However, if more favorable signs of a bottoming in Europe and growth in China emerge, we would lean even more aggressively toward additional cyclical sectors and away from defensive sectors. If revenue growth increases even modestly, greater confidence in an extended recovery would likely unleash some corporate expansion plans as well as investment cash that have been sitting on the sidelines for years.

As less liquid and more domestically focused smaller-cap stocks tend to underperform during the last half of a recovery, we continue to favor large-cap multinational issues for this later-cycle period. Our cyclical bias on the growth-versus-value style scale remains tilted toward growth. However, should lending begin to show persistent signs of a pickup, some Financial sector issues could benefit, which could favorably impact value-oriented relative performance for a period of time.

We currently recommend leaning more towards cyclical sectors and away from defensive. We also continue to favor large-cap over smaller-cap and prefer growth versus value-oriented stocks.

Economic indicators are positive

The Conference Board's Composite of Ten Leading Economic Indicators has been on an upswing, and our estimates point toward more growth in 2013.

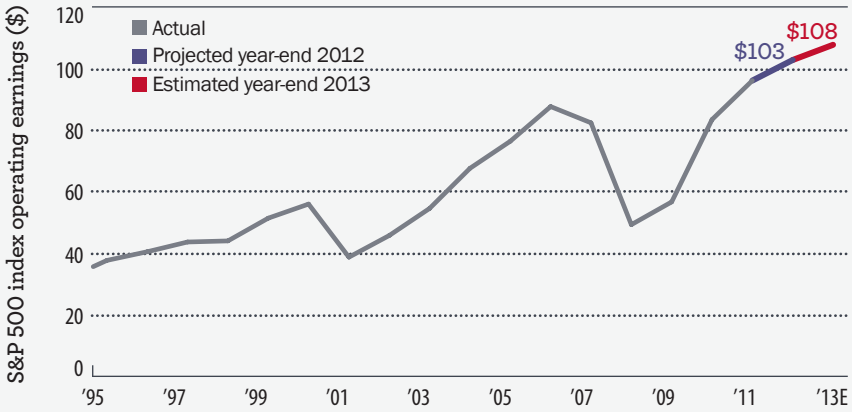


Past performance is not an indication of future results.

Source: Conference Board, Wells Fargo Advisors

Operating earnings should still move higher in 2013

S&P 500 operating earnings are currently at record highs, and we think they'll be even better in 2013.



Past performance is not an indication of future results. An index is not managed and is unavailable for direct investment. Estimates are not guaranteed and subject to change.

Source: Haver Analytics, Wells Fargo Advisors

Low interest rates may present challenges

Fixed-income investors should continue to focus on diversification

Brian Rehling, CFA®
Chief Fixed Income Strategist

2013 year-end forecasts

0.12%
target federal funds rate

2.50%
10-year Treasury yield

3.75%
30-year Treasury yield

Source: Wells Fargo Advisors

What impact will the Federal Reserve have in 2013 and beyond?

The Fed should remain active in 2013 with an expansion of current quantitative easing (QE) bond purchases likely as "Operation Twist" winds down near the end of 2012. The Fed is currently implementing its latest open-ended QE policy – $40 billion of new monthly mortgage-backed securities (MBS) purchases – announced in September 2012. With no definitive end date, we look for the Fed to continue to expand its balance sheet until we see both stronger economic growth and unemployment below 7.0%. Given the labor market's current status, we think it is unlikely that we will meet conditions that would appease the Fed in 2013. The Fed is clearly focused on the here and now, but its actions will have consequences for investments far into the future.

Do fixed-income investors need to adjust their expectations?

With interest rates hovering near historically low levels, the risk-return profile for bonds is clearly asymmetric. Over the past three decades, yields moved lower as bond prices moved higher because bond prices and bond yields have an inverse relationship. Now with interest rates bounded by zero percent, the total return on fixed-income investments may struggle in the years ahead.

We do not expect a significant increase in interest rates next year, our year-end target on the 10-year Treasury yield is 2.50%. It would take a major market disruption to push interest rates significantly lower, in our opinion. Such a disruption is always possible, with the leading candidates being a disorderly Greek euro exit, Washington gridlock that leads us over the fiscal cliff, a debt-ceiling impasse leading to further downgrades of the U.S. credit rating, a global recession or a Mideast war. The uncertainty surrounding these potential events has pushed investors to increase cash and short-term fixed-income positions. We don't think that any of these events has a particularly high probability of materializing. In our opinion, it is more likely that several of these uncertainties will resolve themselves over the coming year, providing a reason for investors to move into risk-based assets at the expense of fixed income. The timing of significant interest rate moves often takes the market and investors by surprise. Bottom line, investors should avoid chasing past returns or using recent history as their basis for fixed-income return assumptions.

What is our advice for fixed-income investing in 2013?

First and foremost, have a good asset allocation investment plan. In an uncertain world with many potential outcomes, investors should be prepared for any possibility. The uncertainties facing the market are difficult to handicap, and we are not inclined to be overly aggressive with fixed-income investment positioning at this time. The risk of an unexpected outcome or event in the current market appears to be significant. Given yields near historical lows in most sectors, there is little opportunity of reward for investors who take significant outlying bets on the market. But the downside risk is meaningful should investors make the wrong assumptions. We urge investors to move toward their benchmark positions during this period of heightened uncertainty.

We encourage fixed-income investors who need to increase yield within their fixed-income portfolio to do so by adding allocations to credit-sensitive sectors, such as corporate bonds, rather than moving too far out the interest rate curve. Investors with a short investment horizon should use caution in adding to the more credit-sensitive sectors, such as high-yield (junk) bonds and preferred securities given the potentially volatile nature of these sectors. Investors should refrain from "reaching for yield" by moving lower in credit quality than is appropriate for their risk tolerance. Investors focused on income should give significant consideration to income investment vehicles outside of the traditional fixed-income universe, such as dividend equity solutions. We recommend that taxable investors target a duration of 4.25 years.

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What is our outlook for the municipal bond market?

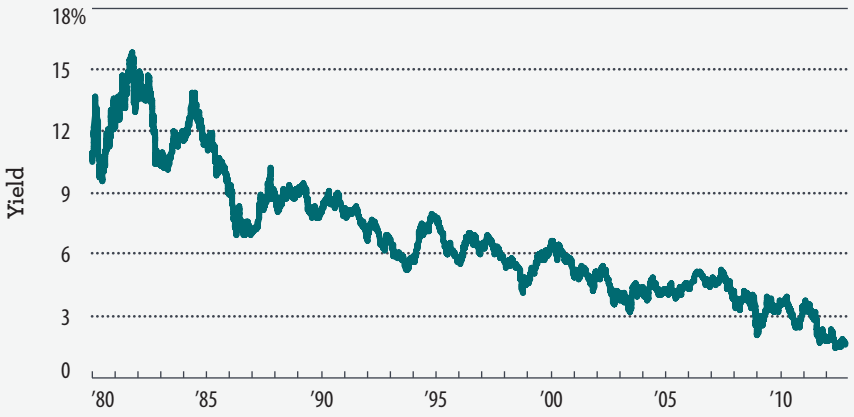
Despite significant and well-publicized budget problems in the municipal market, we continue to believe the primary risk will be ratings migration (downgrades) rather than actual default risk. We advise municipal investors to maintain well-diversified portfolios and focus on single-A-rated or better general obligation and essential-purpose revenue debt of larger, more visible and active issuers. In our opinion, municipal bankruptcies will continue to be rare events. The uncertainty regarding changes in the tax code will continue to be an issue that impacts municipal investors until a fiscal solution is in place. We do not rule out the possibility of some tinkering with the tax code relating to municipals as part of a plan to close loopholes and address certain exemptions. Prior proposals have suggested capping the municipal exemption at 28%. We do not anticipate that any potential tax changes will significantly alter the value proposition for municipal securities, but changes could impact an investor's particular situation. Overall, we anticipate higher taxes in the future, which should be supportive of municipal valuations. We recommend tax-exempt fixed-income investors target a 6.75 year duration. In our opinion, many clients would benefit from professionally managed, well-diversified solutions rather than attempting to select individual issues for purchase.

Cash is expensive

Short-term rates should not rise materially for several years, and investors earning little in cash balances face many years of eroding purchasing power. Unless you have near-term liquidity needs, we would not overweight this asset class.

10-year Treasury yields remain historically low

Investors may want to think carefully before locking in today's historically low rates for significant periods of time.



Past performance is not an indication of future results.

Source: Bloomberg

2013 opportunities in fixed income

As of December 4, 2012

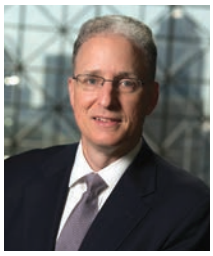
Overweight	Slight overweight	Evenweight	Slight underweight	Underweight	Duration
Corporate bonds		Agency securities	Treasury Inflation-Protected Securities	International developed -market debt	Slightly short*
		Emerging-market debt		U.S. Treasuries	
		High-yield securities			
		Preferred securities			
		Mortgage-backed securities			
		Municipal bonds			

Source: Wells Fargo Advisors

**We recommend a duration slightly short of an investor's target duration. If an investor does not have a target duration, then we recommend a duration of approximately 4.25 years in taxable portfolios, and 6.75 years for tax-exempt portfolios. Duration, stated in years, can be used to estimate the percentage change in a bond's value that results from a 1% change in interest rates. The longer (higher) the duration, the more prices will fluctuate as interest rates rise and fall.*

Things may be looking up for international investments

Investors should allocate across countries and commodities



Paul Christopher, CFA®
Chief International Strategist

2013 year-end forecasts

1,575-1,625
MSCI EAFE equity index

1,110-1,160
MSCI Emerging-market equity index

$100 crude oil
per barrel

$1,850 gold
per troy ounce

$1.25
euro exchange rate

Source: Wells Fargo Advisors

Will the international investment outlook improve in 2013?

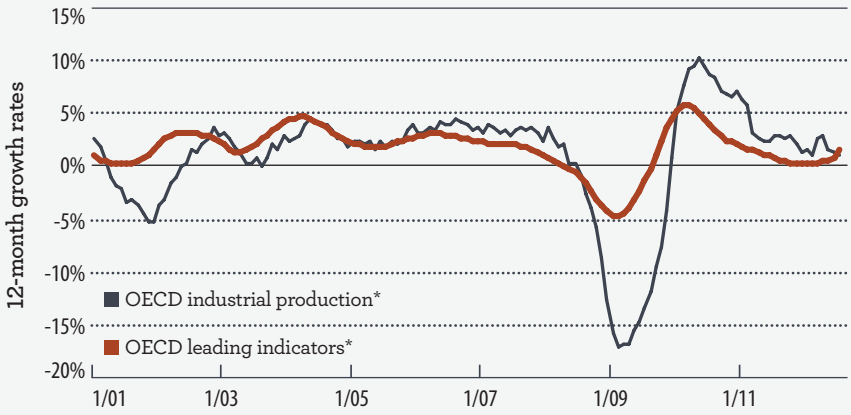
International financial and commodity market performance generally improved in the second half of 2012, and further improvement in 2013 is likely. Global economic activity cooled in 2012, but a slower economic expansion as government stimulus winds down is not unusual. The waning stimulus slowed buying, and excess inventories accumulated in many parts of the world. As global inventories are eventually sold off and normalize, economic activity should perk up and spark new global economic activity. Global leading indicators tend to anticipate industrial production (a proxy for overall economic activity) by several months. The data for the most recent six months point to a likely end to the slowdown that began in March 2010. If this trend holds, industrial production could remain soft into the end of 2012 but, following the leading indicators, should steady and turn higher in 2013.

How should investors think about opportunity and risk in a changing world?

The Cold War arguably accustomed investors to a stable geopolitical environment, and the further the world moves into the new century, the more investors must adjust to rising global political instability. During the Cold War era, NATO and the Soviet Union asserted their competing interests around the world, and the standoff produced a degree of stability. The Soviet Union's demise upset the balance, and 20 years into the new era, local tensions have reemerged to register a global impact. This dynamic may be seen in China's military assertiveness in the western Pacific, Iran's resurgent bid for regional dominance, Turkey's renewed reach for its Ottoman-era influence, and new demands for autonomy and ethnic freedom across Europe and elsewhere. The United States remains the world's sole superpower but increasingly grapples with new

Global slowdown may be ending

The historical relationship between the global economic leading indicators and industrial production continues to imply that the global economic slowdown may be ending.



*Data are the composite totals for the countries in the Organization for Economic Cooperation and Development (OECD)

Source: Bloomberg and Wells Fargo Advisors

Note: *The index is a composite of exchange rates of the U.S. dollar against the euro, Japanese yen, British pound, Canadian dollar, Swedish krona and Swiss franc, weighted by their respective shares in total trade with the United States.*

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international realities that complicate diplomacy and challenge old ways of doing business in an increasingly global economy.

Some international tensions may spill over into 2013 and restrain confidence or distract investors from generally improving economic conditions. For example, large debt burdens continue to undercut activity in Europe, the United States and Japan. Secondly, in many emerging economies, the growth slowdown was a reversion to trend growth (following stimulus-driven surges in 2009-2010) implying that new stimulus may be moderate. Meanwhile, European promises to preserve the euro have bolstered investor confidence, but implementing the promises may produce new disappointments. Finally, social upheaval now directly or indirectly affects the entire Middle East.

In this adjustment period, international events frequently may produce unexpected implications for global financial and commodity markets, including U.S. markets. Relative valuation should remain an important metric for making investments, but global trends and events must also figure more prominently into investment decisions. Anticipating events is difficult, so investors should:

Diversify: Diversification does not eliminate losses but can reduce the risk from a loss in any one market. (See page 13 for more detail on asset allocation.)

Keep a long-term focus: Events may temporarily move markets in one direction, but events pass and people adjust, meaning that longer-term trends can reassert themselves.

Be selective: Tactically exploiting short-term regional opportunities can reduce portfolio volatility and allow the investor to benefit from being selective.

Where are the international and commodity opportunities?

International equity and debt. The main features of our international outlook include a modest reacceleration in economic growth but with the continued risk that European political disappointments may temporarily distract investors from improving economic activity. Our targets anticipate moderate global earnings growth and inflation and relatively better opportunities in emerging-market equities and sovereign debt.

Currencies. Emerging-market currencies should add another advantage to investments in emerging-market financial markets. We believe the dollar will slip against emerging-market and commodity-based currencies (i.e., Canada's and Australia's). By contrast, U.S. economic outperformance and likely additional policy easing in Europe and Japan should lead the U.S. dollar to outperform the euro and the yen (and, to a lesser extent, the British pound).

Commodities. Moderately improved global economic growth should also benefit metals and petroleum (and refined product) prices. If in addition, emerging economies outperform, industrial commodities may outperform other commodities. Also, monetary stimulus by the Fed and other central banks should boost gold prices. Gold investors should also find encouragement if, as we expect, the euro zone holds together in 2013. Commodity price gains should be modest by comparison with past years. Although demand should improve with economic growth, prices may struggle to gain traction early in the year until petroleum and industrial metals inventories are worked down. Inventories should also remain a strong weight on natural gas prices in 2013. Finally, agricultural commodity prices should underperform industrial commodities.

Finding opportunity in increased food demand

We have seen generally positive agricultural price trends but also significant variability and amplitude in food prices. Rice prices are nearly unchanged for close to five years, for example, while grain prices have varied widely with weather conditions. Investors looking to exploit the world's potential long-term growth in food demand should take a broadly diversified commodity exposure that includes agricultural, industrial and precious metals groups.

2013 opportunities in international equity and sovereign debt investments*

Equities	Sovereign debt
South Korea	Canada
	Norway

**Wells Fargo Advisors currently has no stand-alone commodity or currency recommendations.*

What are the greatest risks to our economic and market outlook?

The biggest risk to our outlook would be a failure by Washington to resolve the fiscal cliff problem. If congressional leaders cannot find some middle ground and instead allow the country to go over the fiscal cliff, the economy would be considerably weaker than we project. In other words, the substantial tax hikes and spending cuts could push the economy into a recession. A secondary risk would be a loss of European political will to resolve their fiscal crisis after several years in which northern European countries bailed out southern European countries. If the bailout funds were cut off and banks in southern European countries needed to be bailed out, the European financial crisis could escalate again.

Finally, unexpected events have a greater risk of derailing a slow economic recovery like the one we are experiencing. So a major unexpected event, like a war between Israel and Iran, could push the economy back into recession. At this point, we believe the probabilities of the above risks are relatively low. Instead, we expect 2013 to be a year when lawmakers begin to take some action and investors and businesses become more confident in long-term economic prospects. As a result, we would anticipate that stocks are likely to perform better than bonds as investors turn less defensive. Obviously, if we are wrong and investors turn out to be more risk averse, then a flight to the perceived safety of bonds could cause bonds to outperform stocks.

What are the key investment themes for 2013?

- Global economic growth is being fueled by growing middle-class consumers. High debt levels and deleveraging have hurt many developed countries with aging populations, but more favorable demographics and lower debt levels are creating growth opportunities in much of the rest of the world.
- Many parts of the U.S. economy are improving but not at the optimal speed. Policymakers are taking action, albeit very slowly, to address global problems. The global economy is expanding, although at a slower pace than in previous periods. On the positive side, innovation is progressing at a rapid rate, helping support the global economy through this difficult time.
- Generally favorable conditions suggest more growth opportunities abroad, more revenue growth for cyclically sensitive multinational domestic companies and for the continuation of a second leg up for this cyclical bull market. We favor cyclical sectors with a tilt toward large-cap and growth-oriented stocks.
- With interest rates at historically low levels, the total return on fixed-income investments may struggle in the coming years. We recommend investors move toward their benchmark positions during this period of uncertainty. Fixed-income investors who need to increase yield within their portfolios should do so by adding allocations to credit-sensitive sectors, such as corporate bonds. Also, cash is expensive. We do not expect short-term rates to rise materially for several years, and holding cash leads to eroding purchasing power; so unless an investor has near-term liquidity needs, we would not be overweight cash in a portfolio.
- We expect continued improvement in international financial and commodity markets in the year ahead. We expect a modest reacceleration in economic growth as well as moderate global earnings growth and inflation. This environment should benefit emerging-market equities, currencies, and sovereign debt as well as metals, petroleum, industrial commodities, and gold.
- In a rapidly changing world, it is important to be flexible. Investors should not get locked into a single perspective and assume that conditions will not change. However, trading in and out of the markets based on the news of the day puts investors at risk of missing important long-term opportunities. Investors need to look for new opportunities while still focusing on their long-term strategy. Most importantly, investors should stay focused on asset allocation and ensure investment portfolios remains properly diversified.
- Investors should consider more than just market risk. A defensive strategy that reduces market risk could open a portfolio to the risk that it will not keep pace with inflation. To achieve long-term financial goals, investors should balance the need to take risk to get higher return against their aversion to market volatility risk.

Please see page 15 for important disclaimers.

Focus on asset allocation

Our models can help you and your Financial Advisor get started

Assessing and possibly making adjustments to your investments based on expectations for the near future can be an effective approach. However, we believe that this should be done within the context of an overall investment strategy designed to help you work toward your long-term goals.

Asset allocation can be an effective way for investors to balance a portfolio among various types of investments and help shield it against offsetting losses. To make the process of developing your overall strategy easier, Wells Fargo Advisors has crafted nine asset allocation models (shown below) that cover a wide range of objectives from conservative income to long-term growth. Using the appropriate model as a starting point, your Financial Advisor can work with you to create a custom asset allocation (investment mix) specifically addressing your situation and goals.

For more information and to start or update your strategy, contact your Financial Advisor with Wells Fargo Advisors, or go to wellsfargoadvisors.com to locate a branch near you.

Strategic asset-allocation models

Investment objectives

Income. Emphasis on achieving current income.

Growth and income. Balance in emphasis between potential capital appreciation and income.

Growth. Emphasis is on potential capital appreciation.

Risk tolerance

Conservative. The least risk for a given investment objective.

Moderate. A higher degree of risk for the potential to receive higher returns.

Long-term. The highest risk within a given investment objective.

- Cash alternatives
- Fixed income
- Alternative income
- Equities
- Commodities

Please see page 15 for important disclaimers.

Definitions

A-rated obligations are considered upper-medium grade and are subject to low credit risk.

Alternative income includes international fixed income, high yield, emerging-market debt and real estate investment trusts.

Commodities are basic goods used in commerce that are generally interchangeable with other commodities of the same type. Commodities are most often used as inputs in the production of other goods or services.

Consumer Price Index (CPI) is a measure of the weighted average of prices of a basket of consumer goods and services, such as transportation, food and medical care. The CPI is calculated by taking price changes for each item in the predetermined basket of goods and averaging them; the goods are weighted according to their importance. Changes in CPI are used to assess price changes associated with the cost of living.

Emerging markets are financial markets in countries with developing economies. These markets are typically immature compared to those of the world's major financial centers but are becoming increasingly sophisticated and integrated into international markets; they provide potentially higher returns but are intensely volatile.

High yield is noninvestment-grade fixed-income securities (rated Ba1 or lower by Moody's and/or BB+ or lower by S&P). These investments are considered to be speculative and are subject to a higher degree of risk.

Intermediate-term fixed income includes instruments that mature in six to 12 years.

International investing involves putting money into financial markets in developed economies outside of the United States.

Large-cap growth stocks have a market cap greater than $10 billion and a price-to-book ratio greater than 2.3.

Large-cap value stocks have a market cap greater than $10 billion and a price-to-book ratio less than or equal to 2.3.

Long-term fixed income includes instruments whose maturities are greater than 12 years.

MSCI EAFE (Europe, Australasia and Far East) index compiled by Morgan Stanley Capital International (MSCI) is a value-weighted index of the equity performance of major foreign markets. In effect, it is a non-American world index of more than 1,000 stocks.

MSCI Emerging-market index was created by MSCI and designed to measure equity market performance in global emerging markets.

Mid-cap growth stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio greater than 2.3.

Mid-cap value stocks have a market cap between $2 billion – $10 billion and a price-to-book ratio less than or equal to 2.3.

Real estate investment trusts (REITs) trade on the major exchanges and invest in real estate directly, either through properties or mortgages.

Short-term fixed income includes instruments that mature in one to six years.

Small-cap growth stocks have a market cap less than $2 billion and a price-to-book ratio greater than 2.3.

S&P 500 index consists of 500 industrial, financial, utility and transportation companies with market capitalizations of $4 billion or more.

Important disclaimers

Some information contained in this report was prepared by or obtained from sources that Wells Fargo Advisors believes to be reliable. Any market prices are only indications of market values and are subject to change.

Wells Fargo Advisors may not offer direct investments into the products mentioned in this report.

Investing in foreign securities presents certain risks not associated with domestic investments, such as currency fluctuations, political and economic instability, and different accounting standards. This may result in greater share price volatility. These risks are heightened in emerging markets.

Dividends can be increased, decreased or totally eliminated at any point without notice.

Technology and Internet-related stocks, especially of smaller, less-seasoned companies, tend to be more volatile than the overall market.

The prices of small- and mid-cap company stocks are generally more volatile than large-company stocks. They often involve higher risks because smaller companies may lack the management expertise, financial resources, product diversification and competitive strengths to endure adverse economic conditions.

Investing in fixed-income securities involves certain risks, such as market risk if sold prior to maturity and credit risk, especially if investing in high-yield bonds, which have lower ratings and are subject to greater volatility. All fixed-income investments may be worth less than original cost upon redemption or maturity. Income from municipal securities is generally free from federal taxes and state taxes for residents of the issuing state. While the interest income is tax-free, capital gains, if any, will be subject to taxes. Income for some investors may be subject to the federal alternative minimum tax (AMT).

High-yield bonds, also known as junk bonds, are subject to greater risk of loss of principal and interest, including default risk, than higher-rated bonds. The prices of these bonds may be volatile , and they are generally only suitable for aggressive investors.

Bond prices fluctuate inversely to changes in interest rates. Therefore, a general rise in interest rates can result in the decline of the value of your investment.

There are special risks associated with investing in preferred securities. Preferred securities generally offer no voting rights with respect to the issuer. Preferred securities are generally subordinated to bonds or other debt instruments in an issuer's capital structure, subjecting them to a greater risk of non-payment than more senior securities. In addition, the issue may be callable, which may negatively impact the return of the security. Preferred dividends are not guaranteed and are subject to deferral or elimination.

The interest rate for Treasury Inflation-Protected Securities (TIPS), which is set at auction, remains fixed throughout the term of the security. The principal amount of the security is adjusted for inflation, but the inflation-adjusted principal will not be paid until maturity although the adjustment will be subject to income tax in the year it was earned. Wells Fargo Advisors is not a tax advisor. TIPS have special tax consequences, generating phantom income on the "inflation compensation" component of the principal. A holder of TIPS may be required to report this income annually although no income related to "inflation compensation" is received until maturity.

There are special risks associated with an investment in real estate, including credit risk, interest rate fluctuations and the impact of varied economic conditions. Distributions from REIT investments are taxed at the owner's tax bracket.

While stocks generally have a greater potential return than government bonds and Treasury securities, they involve a higher degree of risk. Government bonds and Treasury bills, unlike stocks, are guaranteed as to payment of principal and interest by the U.S. government if held to maturity. Although Treasuries are considered free from credit risk, they are subject to other types of risks. These risks include interest rate risk, which may cause the underlying value of the bond to fluctuate inversely to a change in interest rates.

Investing in commodities is not suitable for all investors. Exposure to the commodities markets may subject an investment to greater share price volatility than an investment in traditional equity or debt securities. The prices of various commodities may fluctuate based on numerous factors, including changes in supply and demand relationships, weather and acts of nature, agricultural conditions, international trade conditions, fiscal, monetary and exchange control programs, domestic and foreign political and economic events and policies, and changes in interest rates or sectors affecting a particular industry or commodity. Products that invest in commodities may employ more complex strategies which, may expose investors to additional risks, including futures roll yield risk.

There is no assurance that any of the target prices or other foward-looking statements mentioned will be attained. Any market prices are only indications of market values and are subject to change.

Investments that are concentrated in a specific sector or industry may be subject to a higher degree of market risk than investments that are more diversified.

Stay informed

Our strategists will be following all the latest developments in the news to determine their potential impact on the U.S. and global economy, the markets, and political events overseas. There are a number of ways to access our advice and commentary to stay informed about how developments may affect you financially.

Talk to your Financial Advisor

He or she can provide research and advice from Wells Fargo Advisors as well as review your current investment strategy and goals and help ensure that you are prepared to act if anything should change.

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Commentary and analysis posted daily

Be sure to visit our website for the latest market commentary and economic reports. There you'll find our top economic, market and investment strategists' insights on what's happening today and how you might prepare for what's ahead. You'll also find videos, investment tools and other resources to help you stay fully informed.

Go to wellsfargoadvisors.com/research

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